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SOP NUMBER: SOP-OPSFIN-202

# Pre-Opening Expenses

This Standard Operating Procedure provides guidance for the accounting of pre-opening expenses.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

PRE-OPENING EXPENSES GUIDANCE

Hilton and/or applicable Ownership incurs one-time, pre-opening expenses related to Hotel start-up activities which may result from a new hotel opening or re-opening. Pre-opening expenses are non-construction related costs that are incurred prior to the hotel opening or re-opening. Pre-opening costs shall be expensed as costs are incurred and are not capitalized on the balance sheet.

A pre-opening budget must be prepared and approved for all Owned and Operated Hotels in advance of any costs being incurred. This must be in accordance with the Lease / Management Agreement, where applicable, and approved by applicable Vice President Operations and Regional Director of Finance.

Common pre-opening costs include:

- Salaries, wages, payment of preopening bonus and payroll related expenses for any Hotel Team Member from the date of employment to date of opening including all relocation, recruitment, and training expenses.
- Technical services incurred prior to opening such as engineering, communications, accounting, front office, human resources, national sales, purchasing, laundry, and other specialized services whether furnished by outside consultants or Team Members.
- Miscellaneous expenses incurred prior to Hotel opening such as office/furniture/equipment/storage rental, marketing, moving, telephone, travel and entertainment, living expenses, supplies, utilities, security, and property taxes.
- Opening festivities including luncheons, preopening event/party, press parties, charity balls, press kits, souvenirs, music and entertainment, guest tours, and travel expenses.

Most expenses cease to be recorded to pre-opening expense upon Hotel opening or re-opening, as the presumption is that once the hotel is open, no additional costs associated with opening the Hotel should be incurred. However, certain pre-opening expenses such as technical services may be considered pre-opening expenses subsequent to hotel operating commencement depending on their nature. If these costs are pre-opening in nature, they may be recorded to pre-opening expense for a set period of time not to exceed 90 days after Hotel opening.

Some other common costs not considered pre-opening costs include, but are not limited to, inventory, supplies, operating equipment, construction and fixed asset costs, licensing costs, financing costs, and interest expenses. These costs are not considered part of this policy and are not typically recorded to pre-opening expense. While these costs may occur during the pre-opening phase they should not be recorded to pre-opening expense.